

THE 2022 PLAYBOOK

Why 2026 Is Running the Same Script
And How to Trade It Without Getting Trapped

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Not vibes. Not narratives. History.

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THE THESIS

Bitcoin doesn't crash in straight lines. It crashes in stages. And those stages follow a pattern that has repeated every single bear market cycle.

"Different year. Same structure."

In 2022, Bitcoin spent 12 months grinding lower through a repeating sequence: top, crash, relief rally (trap), crash, trap, crash. Over and over. Each rally convinced people the bottom was in. Each crash proved it wasn't.

Now in 2026, the same sequence is playing out move for move. This guide breaks down the exact 2022 playbook, shows you where we are in it today, and gives you the framework to trade the traps without getting caught in them.

THE CORE PATTERN

PHASE	WHAT HAPPENS	CROWD REACTION
1. TOP	Price peaks on euphoria	"We're going to \$200K"
2. CRASH	Sharp decline, -20% to -35%	"Just a correction"
3. TRAP	Relief rally, +15% to +25%	"See? Bull market is back"
4. CRASH	Another leg down, new lows	"OK, this might be real"
5. TRAP	Smaller bounce, hope returns	"Double bottom! It's over"
6. CRASH	Final capitulation	"Crypto is dead"
7. BOTTOM	Quiet accumulation	"I'll never buy crypto again"

This cycle took 12 months in 2022 (Nov 2021 top to Nov 2022 bottom). The math says it takes roughly the same duration this time. That puts the projected bottom around Q4 2026.

THE 2022 BREAKDOWN

Here is exactly how the 2022 bear market played out, phase by phase. These are the moves that are now repeating in 2026.

- **NOV 2021: THE TOP (\$69,000)**
Bitcoin hit \$69K on peak euphoria. Everyone was calling \$100K by year end.
- **DEC 2021 - JAN 2022: FIRST CRASH (-40%)**
Sharp drop to ~\$42K. Most people said 'just a healthy correction.'
- **FEB - MAR 2022: TRAP #1 (+30% rally)**
Bounced back to \$48K. 'Bull market is back.' It wasn't.
- **APR - MAY 2022: SECOND CRASH (Luna collapse)**
Dropped to \$26K. -62% from ATH. Panic set in. Luna/Terra wiped out \$60B.
- **JUN - AUG 2022: TRAP #2 (+30% rally)**
Bounced to \$25K, rallied toward \$32K. 'The bottom is in.' It wasn't.
- **SEP - NOV 2022: FINAL CRASH (FTX collapse)**
FTX collapsed. Bitcoin fell to \$15,500. -77% from ATH. Maximum pain.
- **NOV 2022: THE BOTTOM (\$15,500)**
Capitulation. Extreme fear. 'Crypto is dead' headlines everywhere. The bottom.

PEAK TO BOTTOM	DURATION	TOTAL DRAWDOWN	# OF TRAPS
\$69,000 to \$15,500	12 months	-77.5%	2 major rallies

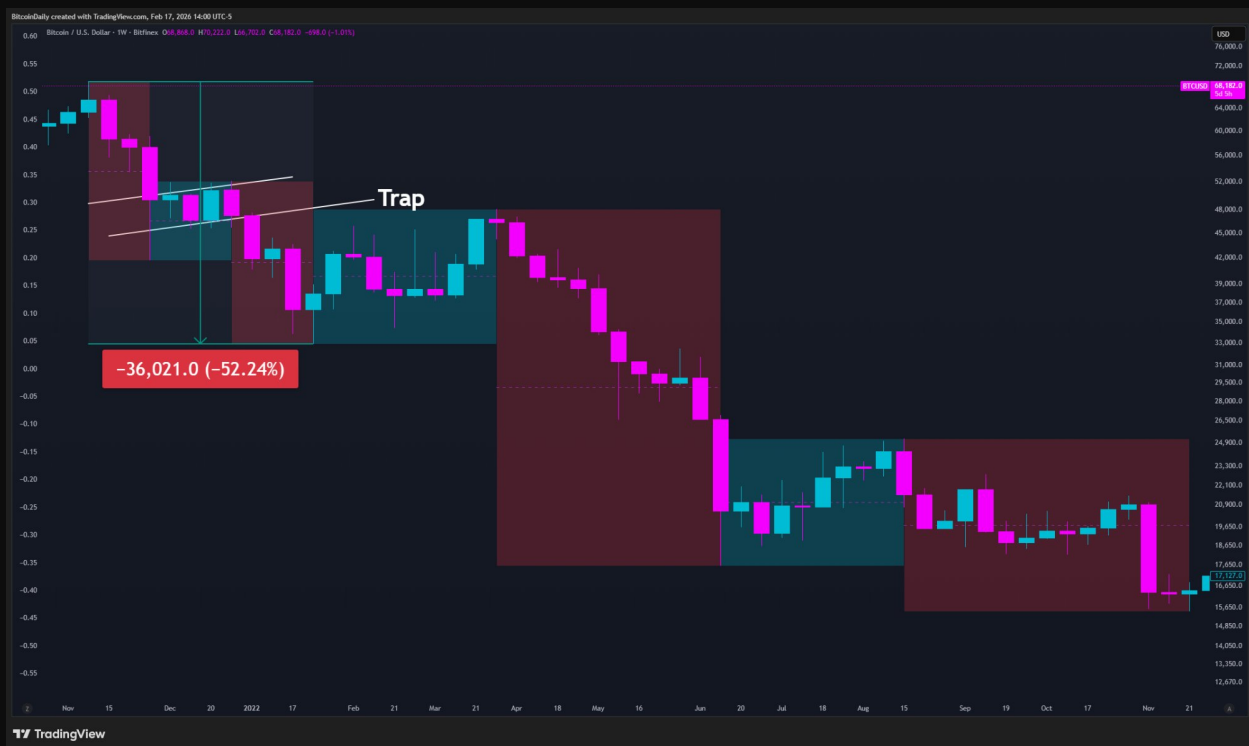
2026: THE REPLAY

Now compare the 2022 sequence to what has happened in 2025-2026. The structure is nearly identical.

PHASE	2022	2026
TOP	Nov 2021 (\$69K)	Oct 2025 (~\$126K)
FIRST CRASH	Dec 2021 - Jan 2022 (-40%)	Nov - Dec 2025 (-30%+)
TRAP #1	Feb - Mar 2022 Rally to \$48K	Jan 2026 Rally from ~\$90K range
SECOND CRASH	Apr - May 2022 Luna collapse to \$26K	Feb 2026 Drop continuing
TRAP #2	Jun - Aug 2022 Bounce to \$32K	Mar 2026 Current rally
NEXT CRASH?	Sep - Nov 2022 FTX collapse to \$15.5K	Q2 - Q3 2026? Projected next leg down
BOTTOM?	Nov 2022 (\$15,500) -77% from ATH	~Q4 2026 (~\$40K range?) Projected ~-70% drawdown

"Tic for tac. Different stories. Same structure."

The chart below is the 2022 bear market on BTC weekly. The structure is the same repeating pattern: top, crash, trap rally, crash, trap rally, final capitulation. Study this. Because 2026 is running the same script.



WHY THE TRAPS WORK

Every bear market trap rally convinces a new wave of people that the bottom is in. Here is why they are so effective and why smart money uses them.

THE ANATOMY OF A TRAP

- 1. The Setup:** Price has already crashed 20-40%. Fear is elevated. Retail is sitting on losses. Everyone is looking for a reason to believe the worst is over.
- 2. The Rally:** Price bounces 15-30%. Volume picks up. Influencers call the bottom. Fear and Greed flips from Fear to Neutral. Short sellers get squeezed.
- 3. The Narrative:** A bullish story emerges to justify the rally. 'Institutions are buying.' 'The Fed is pivoting.' 'This is the double bottom.' The story feels real because price is confirming it.
- 4. The Trap:** Retail goes long. Leverage builds. Open interest spikes. The people who sold the crash are now buying back higher.
- 5. The Rug:** Price reverses. The rally fails. New lows. The people who bought the trap are now underwater. Again.

WHY YOU KEEP FALLING FOR IT

Recency bias: The rally makes you forget the crash. Your brain weights the last 2 weeks more than the last 2 months.

Loss aversion: You are sitting on unrealized losses. The rally feels like a second chance to break even. You don't want to sell 'at a loss.'

Social proof: Everyone on Twitter is bullish again. Your favorite influencer says the bottom is in. It feels safer to agree.

Anchoring: You remember the ATH. Current price feels 'cheap' compared to the top. But cheap can always get cheaper.

"Your feelings are not a trading strategy."

HOW I'M TRADING THE TRAPS

I am not sitting on the sidelines watching. I am actively trading these trap rallies for short-term profit. But I am doing it with rules, not feelings.

MY FRAMEWORK

- 1. Cash is the position.** My long-term allocation is fully in cash until end of year. I am not holding spot Bitcoin through this bear market. The base case model says ~\$40K. I want to buy there, not here.
- 2. Trade the traps, don't invest in them.** When a trap rally starts, I take short-term longs. Days to weeks. Take profit on the way up. The key: I know it is a trap, so I am not looking for the rally to 'keep going.' I am looking for the exit before it reverses.
- 3. Position size for the scenario, not the hope.** Every trade is sized for the possibility that I am wrong. Small positions. Defined risk. If the trap fails early, I lose a little. If it runs, I make a lot.
- 4. Track the structure, not the narrative.** I don't care why it is rallying. I care where it is in the cycle. The 2022 playbook tells me what phase we are in. The narrative is noise. The structure is the signal.
- 5. Set the exits before the entry.** Before I enter any trap rally trade, I know my profit target and my stop. No adjusting. No hoping. The plan is the plan.

THE RECEIPTS

I called the January trap a month before it happened when price was at \$98K. I have been calling this March rally for a month as well.

This is not crystal ball stuff. It is reading the 2022 structure and mapping the same sequence onto 2026. The cycle does not care that you are tired of it.

"The regression isn't complicated. People's feelings about it are."

THE BASE CASE

Every bear market has had a diminishing drawdown from ATH. The structure compresses over time as institutional capital reduces volatility, but it does not eliminate the cycle.

CYCLE	ATH	BOTTOM	DRAWDOWN	DURATION
2013-2015	\$1,150	\$170	-86%	~14 months
2017-2018	\$19,800	\$3,200	-84%	~12 months
2021-2022	\$69,000	\$15,500	-77%	~12 months
2025-2026?	~\$126,000	~\$40,000?	~-70%?	~12 months?

-86% to -84% to -77% to ~-70%. The drawdowns compress every cycle. But they do not disappear.

PROJECTED TIMELINE

Current phase (March 2026): Trap #2 rally. Short-term long opportunity. Expect this to fail and lead to the next leg down.

Q2 2026: Projected next crash phase. Potential catalysts unknown but the structure does not need a catalyst. The 2022 playbook says: trap ends, new lows follow.

Q3-Q4 2026: Final capitulation zone. This is where the base case model targets the ~\$40K range bottom. Maximum pain. Maximum opportunity.

2027+: Accumulation. Quiet. Boring. The best time to buy is when nobody wants to.

"Time is the input. Price is the output."

YOUR ACTION PLAN

Knowing the playbook is not enough. You need rules for what to do at each phase. Here is the framework.

DURING TRAP RALLIES (NOW)

- Do NOT add to long-term positions. This is not the bottom.
- If you are trading short-term: tight stops, quick profits, small size.
- Take profit into strength. Do not wait for 'one more leg up.'
- Watch for the reversal signals: declining volume on the rally, bearish divergences, resistance at prior breakdown levels.
- Keep the majority of your capital in cash or stablecoins.

DURING CRASH PHASES

- Do not panic sell at the lows. The time to sell was during the trap.
- Start your DCA watchlist. Identify the levels you want to buy.
- Watch funding rates and Fear and Greed. Extremes signal opportunity.
- This is where patience pays. The bottom forms when nobody believes it can go up again.
- Consider tax-loss harvesting (see the TAX guide).

AT THE BOTTOM (Q4 2026 TARGET)

- Do NOT try to catch the exact bottom. Buy in tranches across a zone.
- The bottom will not feel like a bottom. It will feel like crypto is dead.
- That feeling is the signal. When you are scared to buy, that is when you should be buying.
- Allocate 60-70% of your planned position in the target zone. Save 30-40% in case it goes lower.
- Think in years, not weeks. The next bull market will reward patience.

"Panic is a transfer of wealth. Pick which side you're on."

THE 7 BEAR MARKET MISTAKES

These are the mistakes that cost people the most money in 2022. Every single one of them is being repeated right now in 2026.

MISTAKE #1: Buying every dip

In a bull market, buying dips works. In a bear market, dips keep dipping. The people who 'bought the dip' from \$60K to \$50K to \$40K in 2022 were underwater for over a year. Wait for structure, not feelings.

MISTAKE #2: Holding altcoins

Altcoins fall 80-95% in bear markets. Some never recover. If you are holding altcoins through this, you are donating to the market. Rotate to cash or BTC and reassess at the bottom.

MISTAKE #3: Using leverage in a bear market

Leverage amplifies drawdowns. A 20% dip on 5x leverage is a 100% loss. The trap rallies exist to liquidate leveraged longs. Do not give them your money.

MISTAKE #4: Listening to influencers calling the bottom

Every single influencer called the bottom at \$30K, \$25K, and \$20K in 2022. The actual bottom was \$15.5K. Nobody called it because it didn't feel possible. That is the point.

MISTAKE #5: Selling at the actual bottom

The cruelest part of the bear market: the people who held through everything finally sell at the very bottom out of exhaustion. This is capitulation. Don't be that person. Have a plan before you get there.

MISTAKE #6: No exit strategy on rallies

The trap rallies give you a gift: a chance to reduce exposure at better prices. If you do not have a plan to take profit during rallies, you will ride them all the way back down.

MISTAKE #7: Thinking 'this time is different'

It never is. The narratives change. The catalysts change. The human psychology driving the cycle does not change. The structure repeats because human behavior repeats.

THE BOTTOM LINE

The 2022 playbook is running again. Move for move.

If you understand the structure, you can trade the traps without getting trapped. You can stay in cash while everyone else bleeds. And you can position yourself to buy the bottom when the rest of the market has given up.

The cycle does not care about your feelings. But if you respect the cycle, it will reward you on the other side.

***"The math doesn't care about your feelings.
But I'll make the math entertaining."***

WANT TO GO DEEPER?

- Follow [@bitcoin.daily](#) on Instagram for daily cycle updates, chart analysis, and bear market plays.
- Join the Bitcoin Inner Circle (broadcast channel) for exclusive pre-post insights and trade recaps.
- Join the Discord for live trade calls, signals, and real-time alerts from every trade I take.
- Comment BEAR on my latest post for the full Bear Market Survival Guide.
- Comment ROADMAP for the 2026-2030 Bitcoin Cycle Roadmap PDF.

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